

Customer Churn Analysis & Insights

Identifying key behavioral and financial drivers of churn to protect recurring revenue and maximize Customer Lifetime Value (CLV).

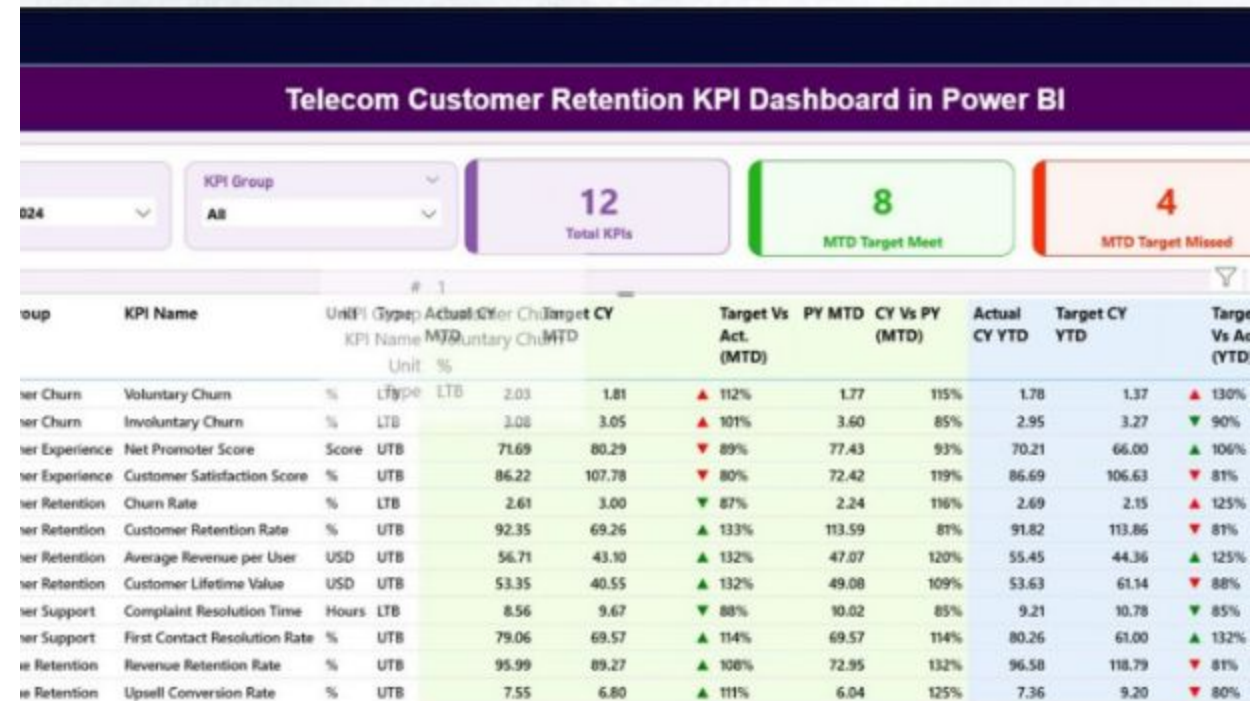
DATASET SAMPLE

7,043 Accounts

BASELINE CHURN

26.54% Rate

Telecom Customer Retention KPI Dashboard in Power BI



Executive Summary & Dataset Profile

N = 7,043 Customer Accounts

7,043
TOTAL ACCOUNTS ANALYZED

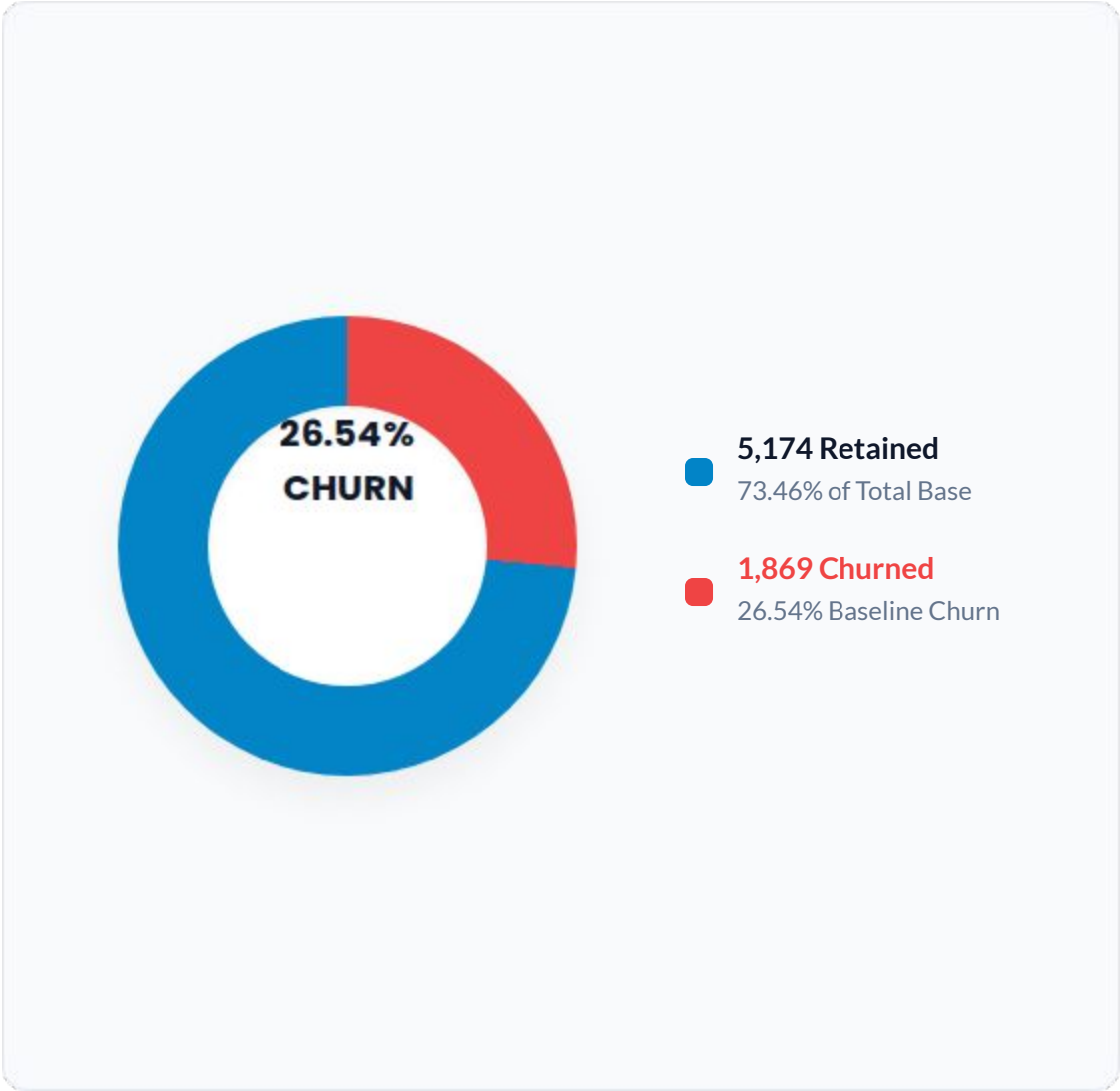
26.54%
OVERALL CHURN RATE

Comprehensive Dataset Scope: 7,043 telecom accounts evaluated across 21 behavioral, service, and demographic attributes.

Revenue Risk Exposure: Over 1 in 4 customers churn (1,869 churned vs. 5,174 retained), impacting Monthly Recurring Revenue (MRR).

Primary Strategic Objective: Pinpoint root-cause friction points to protect recurring revenue and maximize overall Customer Lifetime Value (CLV).

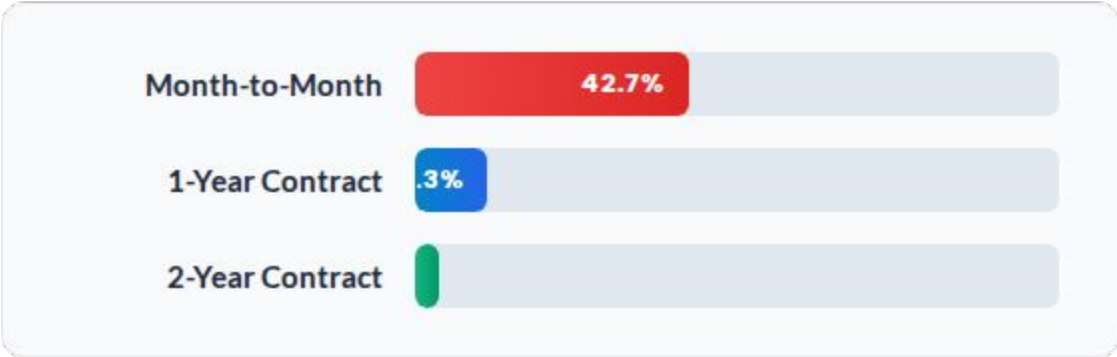
Executive Takeaway: High early-tenure drop-offs represent our largest addressable retention opportunity.



Key Drivers: Contract Types & Billing Preferences

Financial & Commitment Drivers

Churn Rate by Contract Type (%)



Payment Method Churn Impact



Behavioral Root Causes & Friction

Short-Term Commitment Risk

Month-to-month users experience zero switching costs. Any minor service hiccup or competitor promotion triggers an immediate decision to leave within the first 12 months.

Active Friction in Payment

Manual Electronic Check payments force a monthly conscious billing evaluation ("pain of paying"), whereas Auto-Pay creates a seamless, frictionless passive retention loop.

Key Takeaway: Moving users to long-term commitments and automated billing permanently closes two major psychological churn pathways.

Service Insights & Support Feature Dynamics

Product & Service Drivers



Fiber Optic Pricing Friction

Fiber Optic subscribers churn at a markedly higher rate (**41.8%**) compared to DSL users (**19.0%**), despite generating higher Monthly Recurring Revenue (MRR).

Root Cause Analysis:

High monthly bills create elevated performance expectations. Initial setup issues or lack of proactive onboarding leads to rapid regret and cancellation.



Protective Support Add-Ons

Subscribers with **Tech Support** and **Online Security** experience drastically lower churn rates (~**15%** vs. ~**40%** without add-ons).

Why Add-Ons Reduce Friction:

Support features serve as product "stickiness" buffers, providing immediate issue resolution and building perceived value that balances higher monthly fees.

Highest Revenue Risk Profile: High-charge accounts (e.g., Fiber Optic) lacking active Tech Support or Security add-ons represent our primary churn exposure.

Strategic Retention Roadmap

4 Core Targeted Interventions



1. Contract Conversion

Incentivize Annual Plans: Offer structured discounts or 6 months of free Tech Support to convert high-risk month-to-month accounts into stable 1-year contracts.



2. Auto-Pay Migration

One-Time Bill Credit Campaign: Encourage Electronic Check users to switch to Bank Transfer or Credit Card Auto-Pay via a \$10–\$15 bill credit, eliminating monthly payment friction.



3. Fiber Optic Onboarding

Dedicated First 90-Days Care: Implement proactive technical onboarding and early check-in calls for Fiber Optic subscribers to resolve initial performance concerns early.



4. Early Retention Triggers

Automated Warning Alerts: Deploy automated retention workflows targeting new accounts (tenure < 6 months) with high monthly charges that lack active support add-ons.

Expected Impact

Estimated 18% to 22% Churn Reduction Across Targeted Tiers

ROI Target: +\$1.2M Recurring Revenue Protected



Questions & Discussion

Thank you for your time. Let's discuss implementing these 4 retention interventions across our customer operations.

PREPARED BY

Stella Genevive Awuor

REPORT SCOPE

**Telecom Retention & CLV
Optimization**

Image Sources



<https://nextgentemplates.com/wp-content/uploads/2025/11/Telecom-Customer-Retention-KPI-Dashboard-in-Power-BI.jpg>

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